

Another far more important and far less understood way to reach wrong conclusions is to rely too much on simple comparisons of the price-earnings ratios of stocks that seem to be offering comparable opportunities for growth. To illustrate this, let us assume that there are two stocks with an equally strong prospect of doubling earnings over the next four years and that both are selling at twenty times earnings, while in the same market companies which are sound otherwise but have no growth prospects are selling at ten times earnings. Let us suppose that four years later the price-earnings ratios of stocks as a whole are unchanged so that generally sound stocks, but ones with no growth prospects, are still selling at ten times earnings. Let us also suppose that at this same time, four years later, one of our two stocks has much the same growth prospects for the time ahead as it had four years before so that the financial community's appraisal is that this stock should again double its earnings over the next four years. This means it would still be selling at twenty times the doubled earnings of the past four years, or, in other words, that it had also doubled in price in that period. In contrast, at this same time, four years after our example had started, the second stock had also doubled its earnings, just as had been expected, but at this point the financial community's appraisal is for flat earnings in an otherwise sound company over the next four years. This would mean that owners of this second stock were in for a market disappointment even though the four-year doubling of earnings had come through exactly as forecast. With an image of "no growth in earnings for the next four years." they would now be seeing a price-earnings ratio of only ten in this second stock. Therefore, while the earnings had doubled, the price of the stock had remained the same. All this can be summarized in a basic investment rule: The further into the future profits will continue to grow, the higher the price-earnings ratio an investor can afford to pay.

This rule, however, should be applied with great caution. It should never be forgotten that the actual variations in price-earnings ratio will result not from what will actually happen but from what the financial community currently believes will happen. In a period of general market optimism a stock may sell at an extremely high price-earnings ratio because the financial community quite correctly envisages many years of great growth ahead. But many years will have to elapse before this growth is fully realized. The great growth that had been correctly discounted in the price-earnings ratio is likely to become "undiscounted" for a while, particularly if